assets including gold to foreign countries and international agencies.

The principal items on the **debit side** include imports of goods and services, transfer payments to foreigners, lending to foreign countries, investments by residents in foreign countries and official purchase of reserve assets or gold from foreign countries and international agencies.

### 7.8.3. Components of BOPs

The credit and debit items are shown vertically in the BOP account of a country. Horizontally, they are divided into three categories, i.e.

a) The current account,

b) The capital account and

c) The official settlements account or official reserve assets account.

**a) The Current Account:** It includes all international trade transactions of goods and services, international service transactions (i.e. tourism, transportation and royalty fees) and international unilateral transfers (i.e. gifts and foreign aid).

**b) The Capital Account:** Financial transactions consisting of direct investment and purchases of interest-bearing financial instruments, non-interest bearing demand deposits and gold fall under the capital account.

**c) The Official Reserve Assets Account:** Official reserve transactions consist of movements of international reserves by governments and official agencies to accommodate imbalances arising from the current and capital accounts.

The official reserve assets of a country include its gold stock, holdings of its convertible foreign currencies and Special Drawing Rights (SDRs) and its net position in the International Monetary Fund (IMF).

**Balance of Payment (BOP) Account Chart**

Credit (Receipts) – Debit **(Payments)** = Balance **[Deficit (-) , Surplus (+)]**

Deficit if Debit > Credit

### 7.8.4. Balance of Payments Disequilibrium

The BoP is said to be balanced when the receipts (R) and payments (P) are just equal, i.e,

**R / P =1.**

**B.O.P DISEQUILIBRIUM**

Occurs when:

**Demand ≠ Supply**
**Debit > Credit → Deficit**






12-Economics-Chapter_7.indd 136 2/6/2020 12:24:01 PM